Investment = ₹10,000

Face value = ₹100

Market value = ₹100 + 42 – 2 = 140

Number of shares = $\frac{investments}{FV}$

$= \frac{10,000}{100} = 100$

Sales proceeds = 100 × 140 = 14,000

Step 2: For 15% stocks:

M.V. = ₹100 – 22 + 2 = 80

Number of shares = $\frac{investments}{FV}$

$= \frac{14000}{80} = 175$

Income = $175 \times \frac{15}{100} \times 100$ = ₹2625

Step 3: Change of income:

Change of income = ₹ 2625 – ₹ 2000 = ₹ 625

Example 7.21

Which is better investment: 12% ₹20 shares at ₹ 16 (or) 15% ₹ 20 shares at ₹24 .

Solution:

Let the investment in each case be ₹ (16× 24)

Step 1: Income on 12% shares:

Income from 12 % ₹20 shares at ₹ 16

$= \frac{12}{16} \times (16 \times 24)$ = ₹ 288

Step 2: Income on 15% shares:

Income from 15% ₹20 Shares at ₹ 24

$= \frac{15}{24} \times (16 \times 24)$ = ₹ 240

Hence, the first investment is better.

Exercise 7.2

1. Find the market value of 62 shares available at ₹132 having the par value of ₹100.
2. How much will be required to buy 125 of ₹25 shares at a discount of ₹7.
3. If the dividend received from 9% of ₹20 shares is ₹1,620, then find the number of shares.
4. Mohan invested ₹29,040 in 15% of ₹100 shares of a company quoted at a premium of 20%. Calculate
   (i) the number of shares bought by Mohan
   (ii) his annual income from shares
   (iii) the percentage return on his investment
5. A man buys 400 of ₹10 shares at a premium of ₹2.50 on each share. If the rate of dividend is 12%, then find
   (i) his investment
   (ii) annual dividend received by him
   (iii) rate of interest received by him on his money
6. Sundar bought ₹ 4,500, 12% of ₹10 shares at par. He sold them when the price rose to ₹23 and invested the proceeds in ₹25 shares paying 10% per annum at ₹18. Find the change in his income.
7. A man invests ₹13,500 partly in 6% of ₹100 shares at ₹140 and the remaining in 5% of ₹100 shares at ₹125. If his total income is ₹560, how much has he invested in each?
8. Babu sold some ₹100 shares at 10% discount and invested his sales proceeds in 15% of ₹50 shares at ₹33. Had he sold his shares at 10% premium instead of 10% discount, he would have earned ₹450 more. Find the number of shares sold by him.
9. Which is better investment? 7% of ₹100 shares at ₹120 (or) 8% of ₹100 shares at ₹135.

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